

“We may indulge the brightest hopes of these Southern Republics. They have entered upon a career of endless improvement. And ... will soon attain the knowledge and freedom and civilization of the happiest states of Europe.”⁶

The opportunity to make money was the focus of hungry British investors, and it was fueled by stories of how British innovation would make these regions economic powerhouses, and that fabled gold and silver mines were up for grabs.

Investors ended up dumping millions into these exotic and high-yielding loans, with little to no information on where the money ended up. For the most part, bonds were issued repeatedly to budding countries such as Chile, Colombia, and Peru, with the newer issues going to pay off the older issues in classic Ponzi finance. As put forth by Chancellor in his book, *Devil Take the Hindmost: A History of Financial Speculation*:

The payment of interest from capital, otherwise known as “Ponzi finance,” created the illusion of viability although no money was ever actually sent from South America to service the loans (to which it must be added that the borrowing countries received only a tiny fraction of the total sums for which they contracted).⁷

In other words, not only did very little of the money raised in Europe ever make it to South America for its intended purpose, but little to no money was ever sent from South America back to Europe to pay for the dividends the bonds promised. In one famous instance, there wasn’t even the possibility of repayment, as the bonds were floated for an imaginary country called Poyais. These Poyaisian bonds